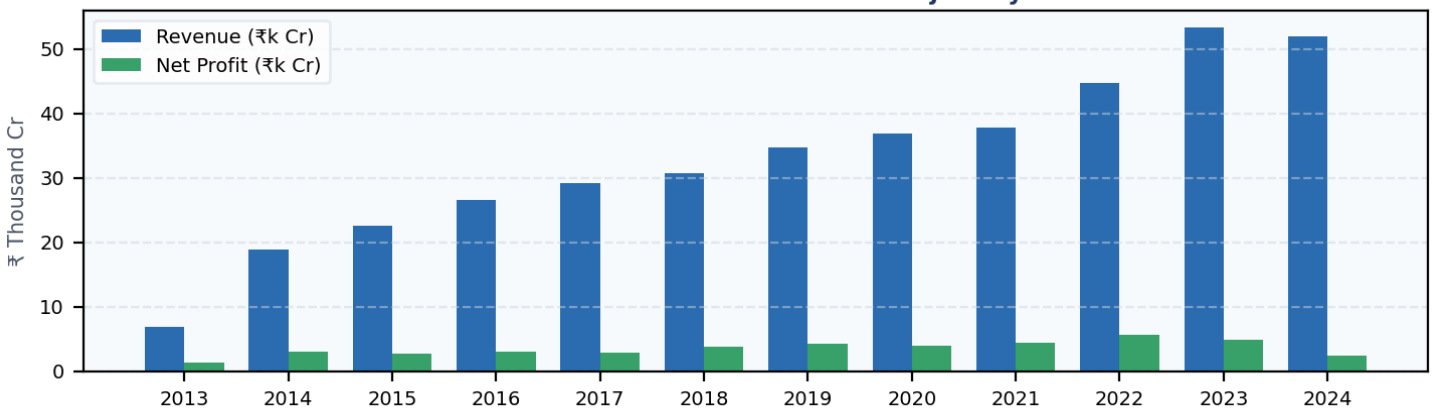
Tech Mahindra Ltd (TECHM)

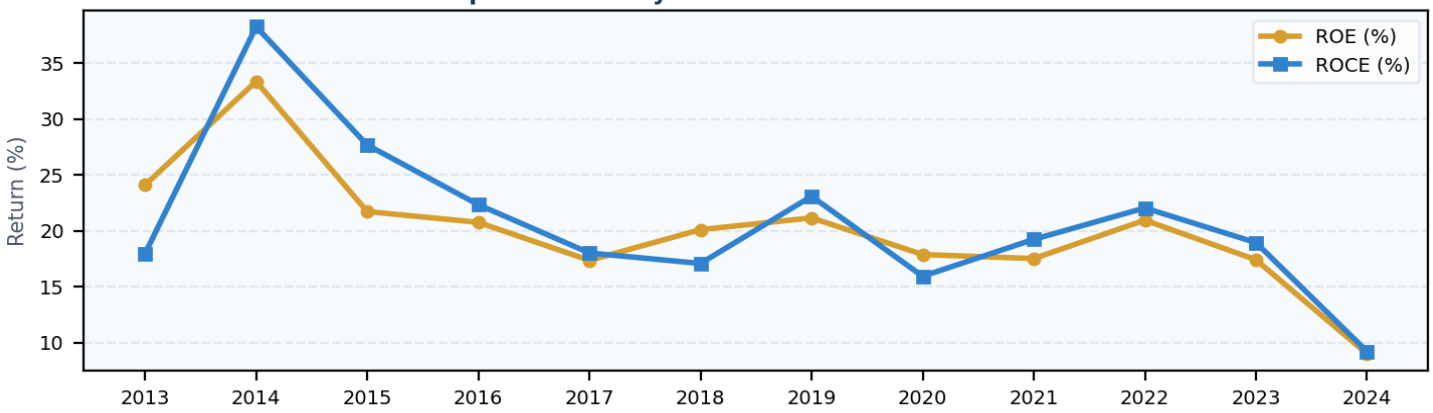
Sector: **Information Technology** | Sub-Sector: **IT Services** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■3,021,096 Cr	57.4x	9.0%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
9.2%	0.10x	8.4%

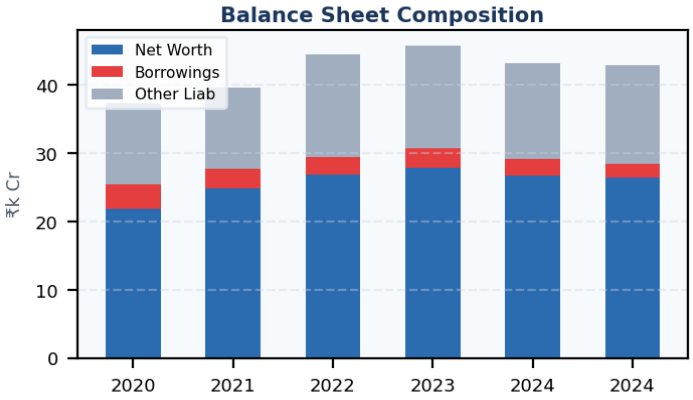
10-Year Revenue & Net Profit Trajectory

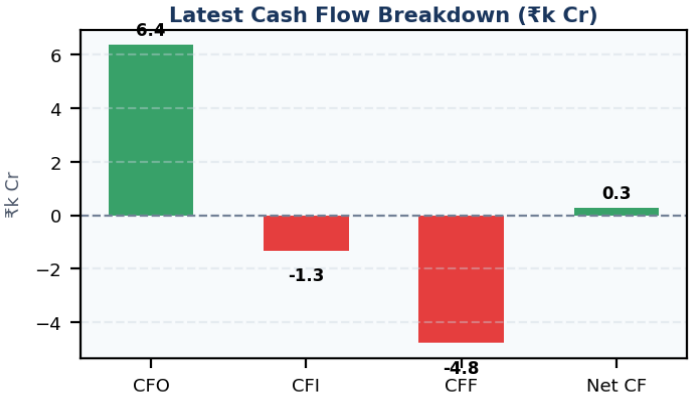


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Reinvestor / Debt Repayer





Key Strengths & Growth Drivers (Pros)

- **[+]** Strong free cash flow generation over 5 years signals healthy business fundamentals
- **[+]** Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risk Factors & Key Concerns (Cons)

- **[-]** Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- **[-]** Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- **[-]** Earnings per share declining for 3 consecutive years reflects deteriorating profitability